

HC Services — People Code

Section 1: Annual Leave Policy

Section 1.0: Document Control

Document Reference: HC-PC-001

Version: 4.0

Effective Date: 1 January 2026

Status: current

Owner: People & Culture Division

Version	Effective from	Superseded on	What changed
4.0	1 January 2026	—	Carry-over cap raised from 5 to 10 days; deadline moved from 31 March to 30 April. Not retrospective — see §1.5.3.
3.2	1 January 2025	31 December 2025	Carry-over cap 5 days, deadline 31 March. Retained in full at §1.9.
3.1	1 January 2024	31 December 2024	Tenure ladder introduced at §1.2.2.

Section 1.1: Policy Scope

This policy applies to all full-time and part-time employees of HC Services (the "Company") who have successfully completed their probationary period. Employees serving probation accrue leave but may not take it without approval — see HC-PC-003 §3.5.1.

Contractors, freelancers, and temporary staff are excluded unless their contract explicitly states otherwise. Where an individual contract of employment grants a more generous entitlement than this policy, **the contract prevails** and the difference is recorded against the employee's record as a contractual exception. The order of precedence between UAE law, this policy, and an individual contract is set out in HC-PC-007 §7.1.

Section 1.2: Annual Leave Entitlement

1.2.1 Standard Entitlement

All eligible employees are entitled to **21 working days** of paid annual leave per calendar year. "Working day" is defined in HC-PC-007 §7.3 and excludes public holidays listed at §1.7.

1.2.2 Enhanced Entitlement by Tenure

Employees receive additional leave days based on **continuous service**, as defined in HC-PC-007 §7.2:

Years of continuous service	Additional days	Total entitlement	Monthly accrual
0–2 years	0 days	21 days	1.75 days
3–5 years	3 days	24 days	2.00 days
6–9 years	5 days	26 days	2.17 days

Years of continuous service	Additional days	Total entitlement	Monthly accrual
10+ years	9 days	30 days	2.50 days

Entitlement is determined by **service, not by grade**. A Grade 9 executive with four years' service receives 24 days; a Grade 3 analyst with eleven years' service receives 30.

1.2.3 Part-Time Employees

Part-time employees receive annual leave pro-rata against the band that their continuous service places them in, rounded to one decimal place.

Worked example. An employee with 4 years' continuous service working 0.6 FTE falls in the 3–5 year band (24 days). Their entitlement is $24 \times 0.6 = 14.4$ days, accruing at $2.00 \times 0.6 = 1.20$ days per month.

Section 1.3: Leave Year & Accrual

1.3.1 Leave Year Definition

The Company's leave year runs from **1 January to 31 December**. New joiners accrue from their start date on a pro-rata basis within the first calendar year, counted in whole months from the first of the month following their start date.

Worked example. An employee joining on 1 May in the 0–2 year band accrues for the eight months May to December at 1.75 days per month: $8 \times 1.75 = 14.0$ days accrued against a 21-day annual entitlement.

1.3.2 Accrual During Absence

Annual leave continues to accrue during approved sick leave (up to 90 days continuous, per HC-PC-002 §2.2), maternity and paternity leave, and approved study leave. Absence on approved sick leave does **not** break continuous service for the purposes of §1.2.2.

Annual leave does **not** accrue during unpaid leave of absence exceeding 30 days, or during suspension pending investigation under HC-PC-006 §6.2.

Section 1.4: Leave Request Procedure

1.4.1 Advance Notice Requirement

Notice is counted in **working days** (HC-PC-007 §7.3), not calendar days:

Length of absence requested	Minimum advance notice	Approver
1–4 working days	5 working days	Line manager
5–9 working days	10 working days	Line manager
10 or more working days	20 working days	Line manager and People & Culture

1.4.2 Approval Process

Requests are submitted via the HR Self-Service portal (Omni). The direct line manager has **3 working days** to approve or decline. If no response is received within 3 working days the request is deemed **conditionally approved**, pending review by People & Culture.

1.4.3 Emergency Leave

In genuine emergency circumstances an employee may take leave with same-day notification to their manager. Documentation explaining the emergency must be submitted within **3 working days** of return. Absence without either approval or notification is treated under §1.8.

Section 1.5: Carry-Over & Forfeiture

1.5.1 Carry-Over Allowance

Employees may carry over a maximum of **10 days** of unused annual leave into the following calendar year. Carried-over leave must be taken by **30 April** of the following year or it is forfeited.

1.5.2 Forfeiture Exceptions

Leave is not forfeited where the Company directed the employee to postpone approved leave, in which case the full untaken balance carries over without cap; or where the employee was on approved sick leave for the whole of the planned period, in which case rescheduling is mandatory.

1.5.3 Transitional Provision — Leave Accrued Before 1 January 2026

The increase at §1.5.1 is **not retrospective**. Leave accrued during the 2025 leave year carries over under the rule in force when it accrued — a maximum of **5 days**, to be taken by **31 March 2026** — as set out at §1.9. Leave accrued from 1 January 2026 onward carries over under §1.5.1. An employee holding both must take the 2025 balance first.

Section 1.6: Leave Pay & Encashment

1.6.1 Leave Pay

Annual leave is paid at basic salary plus **fixed allowances**, as those terms are defined in HC-PC-007 §7.4. Variable pay, overtime, and bonuses are excluded. Note that the annual air ticket allowance is expressly **not** a fixed allowance for this purpose, even where the employee is entitled to it under HC-PC-003 §3.5.4.

1.6.2 Leave Encashment

Encashment of unused leave is not permitted during active employment, except on separation.

1.6.3 Separation

On termination or resignation, accrued but untaken annual leave up to the §1.5.1 cap is paid in the final settlement. An employee resigning before completing one year of service has their entitlement pro-rated under §1.3.1.

Section 1.7: Public Holidays

Public holidays declared by the UAE Federal Government are not working days (HC-PC-007 §7.3) and do not count against annual leave. An employee required to work a public holiday receives a substitute day within **30 calendar days**.

The 2026 declared public holidays are:

Occasion	2026 date	Days
New Year's Day	1 January	1
Eid Al Fitr	19–22 March	4
Arafat Day and Eid Al Adha	26–29 May	4
Islamic New Year	16 June	1
Prophet Muhammad's Birthday	25 August	1
Commemoration Day and National Day	1–3 December	3

Section 1.8: Policy Violations

Unauthorised absence — absence without either approved leave under §1.4.2 or emergency notification under §1.4.3 — is treated as **unpaid leave** and may be referred for disciplinary action under HC-PC-006 §6.3.

Section 1.9: Appendix A — Superseded Provisions (Version 3.2)

SUPERSEDED — DO NOT APPLY TO LEAVE ACCRUED ON OR AFTER 1 JANUARY 2026. The provision below was in force from 1 January 2025 to 31 December 2025 under Version 3.2. The provision currently in force is §1.5.1. This appendix is retained because leave accrued during 2025 is still governed by it — see the transitional provision at §1.5.3.

A.1 Carry-Over Allowance (Version 3.2, in force 1 January 2025 – 31 December 2025)

Employees may carry over a maximum of **5 days** of unused annual leave to the following calendar year. Carried-over leave must be used by **31 March** of the following year or it will be forfeited.

For queries about this policy, contact People & Culture at people@hcservices.ae or raise a query via the HCS Concierge.